

SCHNEIDER ELECTRIC SE

Euronext Paris: SU | Electrical distribution, UPS, prefabricated power and cooling, automation and industrial software
| Rueil-Malmaison, France

Tommy Lau | 7 October 2026 | Initiation of coverage | Independent research

INITIATE AT NO CALL	Target price: None (no call)	Last price: €260.50 (Euronext Paris close, 6 October 2026)	Upside: Base value €278 (+7%)
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Schneider Electric is still selling AI data centres the finished system. After the PTC sell-off, at €260.50 the price is close to fair.

Schneider makes the switchgear, UPS, prefabricated power rooms and cooling that go inside data centres. On 7 October I argued its AI growth arrives as finished systems built and tested in a factory, because site hours are scarcer than parts. The filings support it: Systems grew 28% organic in Q2 2026 against 13% for Products, and on my arithmetic supplied 56% of the quarter's organic growth from a third of the base.

Then, on 5 October, Schneider agreed to buy PTC, a design software company, for US\$22.6bn in cash. In two trading days the shares fell 14% and about €24bn of market value went, more than the €21.1bn enterprise value paid. On my numbers the deal costs about €11 a share: it trims 2028 adjusted EPS by 4% on Schneider's own definition. But before the deal the shares already sat above my standalone value.

My call: NO CALL, medium conviction. My base value, 22 times 2028 adjusted EPS with PTC, is €278, up 7%, inside my no-call band. The bear case is €191 (down 27%) and the bull case €341 (up 31%). Without PTC the base would be €290, up 11%: no call either way.

Stock data

LAST PRICE

€260.50, close 6 October 2026; €303.00 on 2 Oct, before the PTC deal; past-year range €220.40 to 312.30 (intraday)

MARKET VALUE

About €146.8bn on 563.5m shares

NET DEBT, 30 JUNE 2026

€15.4bn, before Cognite (US\$3.1bn) and PTC

P/E ON CONSENSUS

25.0x 2026, 21.0x 2027 (stockanalysis.com, 25 Sep); peer median 25.9x 2026

2026 TARGET (30 JUL)

Organic revenue +10% to +13%; adjusted EBITA margin about 19.4% to 19.7%

2026 TO 2030 (CMD)

Organic revenue +7% to +10% a year; margin +250bps cumulatively

PTC (5 OCT)

US\$22.6bn equity, all cash; €5bn to 6bn of new shares and €16bn to 17bn of debt; closing by Q3 2027

NEXT RESULTS

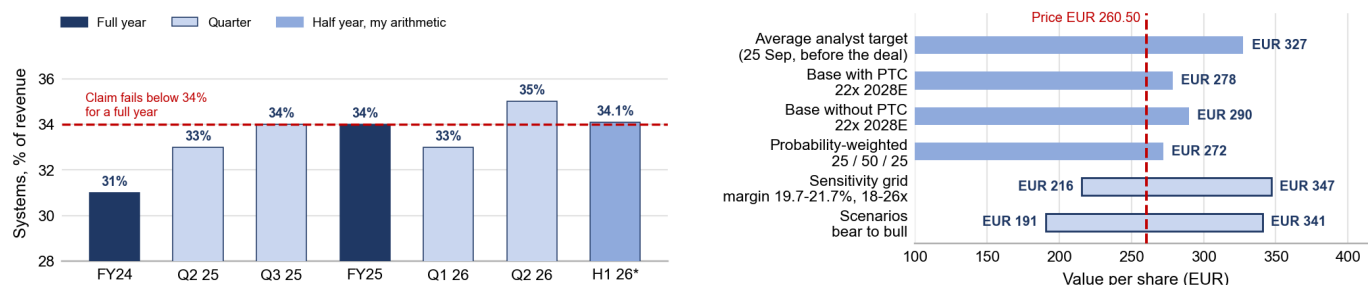
Q3 2026 revenues on 16 October 2026, brought forward from 29 October

Key financials (Schneider's adjusted measures; calendar years)

€ million unless stated	2024A	2025A	H1 2026A	2026E*	2027E*	2028E*	2028E* with PTC
Revenue	38,153	40,152	21,226	44,520	48,527	52,409	55,604
Organic growth (%)	8.4	8.9	14.0	12.0	9.0	8.0	
Systems, share of revenue (%)	31	34	about 34				
Gross margin (%)	42.6	42.1	42.5				
Adjusted EBITA	7,083	7,520	4,093	8,726	9,802	10,849	12,034
Adjusted EBITA margin (%)	18.6%	18.7%	19.3%	19.6%	20.2%	20.7%	21.6%
Adjusted EPS (€)	8.32	8.59	4.79	10.25	11.69	13.17	12.66
Consensus adjusted EPS (€)				10.41	12.38	n/v	
P/E at €260.50 (x)	31.3	30.3		25.4	22.3	19.8	20.6
Net debt, year end	8,147	13,721	15,360	14,994			

*2026E to 2028E are my own estimates. Adjusted EPS is Schneider's measure, which deducts amortisation of purchase accounting intangibles; consensus is on the same basis (stockanalysis.com, S&P Global data, updated 25 September 2026, before the deal); n/v: 2028 consensus not verified. The H1 2026 Systems share is my arithmetic on the rounded Q1 and Q2 shares. Net debt at end 2026E includes Cognite and AiDASH; Shelly (€1.2bn, closing expected by Q1 2027) is added in 2027. History from Schneider's full year 2024 and 2025 and half year 2026 releases.

Two charts: the claim's own test, and a value close to the price

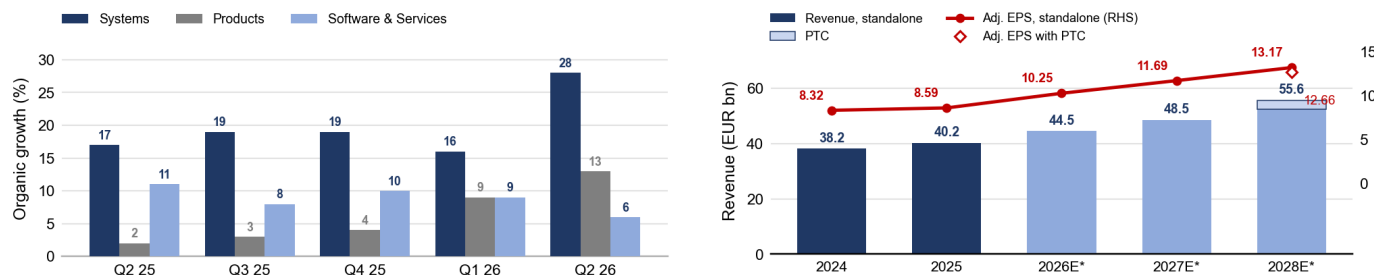


Left: Systems as a share of revenue, from Schneider's releases; H1 2026 is my arithmetic. The claim fails if the full-year share falls below 34% in 2026 or 2027 while data centres grow double digit. Right: value per share from the scenarios, the sensitivity grid, the weighted case and the base with and without PTC, against the €260.50 price (red) and the average analyst target, set before the deal.

The thesis: more boxed fridges, fewer loose parts

Nobody builds a fridge in their own kitchen. The compressor, pipes and thermostat are joined and tested in a factory, and the fridge arrives as one sealed box. When every refrigeration engineer in town is booked, the boxed fridge wins. My piece argued Schneider is selling AI data centres more boxed fridges: prefabricated power rooms, cooling plants and large UPS, shipped ready to connect.

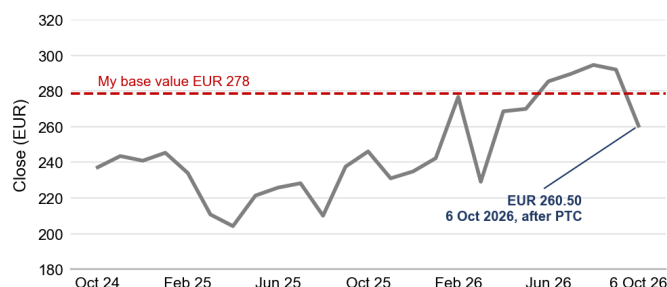
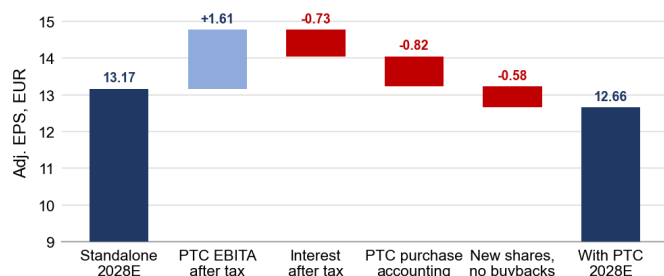
The numbers still say so. Schneider reports sales in three buckets. Systems has grown fastest in each of the last five quarters: 17, 19, 19, 16, 28% organic, against 2, 3, 4, 9, 13% for Products. In Q2 2026 Schneider named prefabricated solutions, cooling and three-phase UPS as the data centre drivers, and said Data Center & Networks demand was up triple digit and its sales strong double digit. Data Center & Networks was 30% of 2025 orders, the largest end market.



Left: organic growth by business model, per cent, Q2 2025 to Q2 2026, from Schneider's quarterly releases. Right: revenue and adjusted EPS, 2024 to 2028E; 2024 and 2025 as reported, the rest my estimates, with PTC added in 2028.

The order book backs it. Backlog reached €25.4bn at the end of 2025, up 18%, and the part due after more than a year rose from €4.8bn to €8.0bn; Schneider said Systems in North America led it. **So does the cost.** The first half carried a €148m mix drag on adjusted EBITA, "mainly due to the relatively faster growth of Systems". Mix took 0.7 points off gross margin, which still rose to 42.5% on 2.4 points of productivity. Schneider accepts a thinner gross margin per euro to sell the work already done.

But the claim's own test is close. My piece set the line at a 34% Systems share for a full year. By my arithmetic on rounded shares, the first half of 2026 came in at about 34.1%: 33% in Q1, 35% in Q2. Schneider also expects Products growth to accelerate in the second half on price rises, which lifts the Products share without any change in what data centres buy. One nuance on spending: net capex fell €48m in H1 2026, but in 2025 it rose €132m to €1,496m, 3.7% of revenue, roughly in step with sales. That is still not pouring money into plants. I checked the piece's other figures against the releases; they stand.



Left: my 2028E adjusted EPS without PTC and with it, € per share; PTC's purchase accounting is my assumption. Right: SU month-end close, October 2024 to the 6 October 2026 close (Euronext Paris, retrieved 7 October 2026; Euronext gives two years), against my base value.

Variant perception: what the market prices in, and where I differ

The sell-off. The shares closed at €303.00 on 2 October and €260.50 on 6 October, down 14.0%, while Legrand rose 2.7% over the same days. About €24.0bn of market value went, against €21.1bn paid for PTC's enterprise value. The P/E on 2027 consensus fell from 24.5 to 21.0 times. Schneider plans €5bn to 6bn of new shares, about 4% of today's market value, and had not launched the sale by 6 October.

What the deal costs on my numbers. PTC earned about 40% adjusted EBITA margins on €2.4bn of 2025 revenue; the price is 21 times 2027E EBITA, which implies about €1,005m. In 2028, the first full year, I take €1,185m including €80m of cost synergies, against €536m of extra interest, 22m new shares at an assumed €250, and no buybacks in 2027 and 2028. The €22bn cash consideration exceeds PTC's €21.1bn enterprise value, so I take it to cover PTC's debt and costs and add nothing on top. Before purchase accounting that is +1.8% on EPS, in line with management's "low single-digit" accretion. But Schneider's adjusted EPS deducts purchase accounting amortisation. With my €600m a year for PTC, which is not disclosed, 2028 EPS falls from €13.17 to €12.66, -3.9%.

Where I differ. At 22 times, that is about €11 a share, against a €42 fall. So the market priced the deal as worse than my numbers say. But at €303 the shares were already above my standalone value of €290. The price now needs 2028 adjusted EPS of €11.84 at 22 times. My model reaches that with organic growth of about 5.3% a year in 2027 and 2028, below the 7% floor of Schneider's 2030 target. I take 9% and 8%. That is a real gap, but a small one, and leverage rises: net debt to adjusted EBITA goes from 1.8 times at the end of 2025 to about 3.0 times at closing, on my estimates, after Cognite, Shelly and PTC.

Valuation, with the working

I value Schneider on P/E, as its peers are quoted, using 2028E adjusted EPS, the year the market will price in October 2027. 2026E takes 12% organic growth, the upper half of the guide, a €450m currency drag and a 19.6% margin: EPS €10.25, against €10.41 consensus. 2027E takes 9% growth and a 20.2% margin: €11.69, 6% below the €12.38 consensus, mainly on margin and financing costs. 2028E takes 8% and 20.7%: €13.17 standalone and €12.66 with PTC.

The multiple. I use 22 times. On 2026 consensus Schneider trades at 25.0 times, against a 25.9 times median for Eaton, Vertiv, ABB, Siemens and Legrand; my 2026E at that median gives €265. One year forward, Schneider trades at 21.0 times today and traded at 24.5 before the deal. I sit between, because leverage rises by about 62% and EPS growth slows to about 8% in 2028.

Scenarios: three cases, twelve months out

Case	What happens	Organic 2027 / 2028	Margin 2028	P/E	EPS 2028E	Value	Change	Weight
Bear	Data centre orders digest; no synergies	4% / 3%	19.6%	18x	€10.60	€191	down 27%	25%
Base	Growth inside the CMD range	9% / 8%	20.7%	22x	€12.66	€278	up 7%	50%
Bull	Top of the range; faster synergies	11% / 10%	21.2%	25x	€13.64	€341	up 31%	25%
Weighted 25 / 50 / 25						€272	up 4%	

All three include PTC from closing. Without PTC the values would be €200, €290 and €352. The bear case is not fanciful: the shares closed at €222.30 on 21 November 2025. The band: long when my base value is at least 15% above the price, short when it is at least 25% below, no call in between.

Sensitivity: 2028 margin against the P/E, with PTC

2028 margin	18x	22x	26x
19.7%	€216	€263	€311
20.7%	€228	€278	€329
21.7%	€240	€293	€347

Six of the nine cells sit above the price, but only three clear it by 15% or more, and all of those need 26 times. At 22 times even a margin a point above my base gives €293, 13% above. The three cells below the price all sit at 18 times; none is 25% below. Every figure is live in the model.

Peer landscape

Company	Listing	P/E 2026 consensus	What they make
Schneider Electric	Euronext Paris: SU	25.0x	Electrical distribution, UPS, prefabricated modules, cooling, automation, software
Eaton	NYSE: ETN	32.8x	Switchgear, UPS, power distribution, prefabricated electrical rooms
Vertiv	NYSE: VRT	37.6x	UPS, switchgear, prefabricated modules, liquid cooling
ABB	SIX: ABBN	25.9x	Electrification, motion and automation
Siemens	Xetra: SIE	24.3x	Automation, smart infrastructure, rail (fiscal year to Sep 2026)
Legrand	Euronext Paris: LR	24.7x	Low voltage electrical products, data centre white space

Price on 6 October 2026 over 2026 consensus EPS, both from stockanalysis.com (S&P Global data), retrieved 7 October 2026. Peer median 25.9 times. Multiples only; no view on the peers' shares.

Catalysts

When	Event	What I watch
16 October 2026	Q3 2026 revenues, brought forward	Systems against Products growth; data centre commentary; any 2026 target change
Not yet set	Share sale of €5bn to 6bn	Size and price against my €250 assumption
By Q3 2027	PTC shareholder vote, approvals, closing	Terms unchanged; debt cost against my 3.5%
February 2027 (date not confirmed)	Full year 2026 results	Systems share against 34%; 2027 target; PTC accounting

Risks: what would hurt the view

Data centre digestion. Data Center & Networks was 30% of 2025 orders and leads the Systems growth. A pause by hyperscale buyers would hit the fastest-growing bucket first; Europe's data centre sales already fell in Q2 against a strong base. **The deal.** Schneider pays 21 times 2027E EBITA for a business outside its electrical core, with one-off implementation costs Schneider puts at €250m and approvals still to come. It also offered €1.2bn in cash for Shelly Group on 24 September, its third software deal since June. A deep discount on the share sale would add dilution.

Costs and currency. Copper and silver took €330m off H1 adjusted EBITA and tariffs €104m, against €280m of product price. North America was 40% of Q2 revenue, so a weaker dollar lowers reported euros. **Accounting.** My €600m of PTC purchase accounting is a guess; if Schneider reports adjusted EPS before it, my 2028E rises by about €0.78, worth about €17 a share at 22 times.

What would change my mind

Into a long: a price at or below about €242 with my numbers unchanged, or results that lift my 2028E adjusted EPS with PTC to about €13.62 or more. **Into a short:** a price at or above about €371, or 2028E EPS at or below about €8.88. **The claim:** a full-year 2026 Systems share below 34% with data centres still growing double digit would break the piece's claim and the thesis behind this view.

The view is wrong if Schneider's organic revenue growth over the four quarters to September 2027 is below 4% or above 11%, the 2027 growth of my bear and bull cases, or its full-year 2026 Systems share falls below 34% while data centres grow double digit.

Conclusion

My piece argued that Schneider's AI growth arrives as finished systems because site hours are scarcer than parts. The releases support it: Systems has outgrown Products for five quarters and supplied most of Q2's growth, though the 34% test is close. The PTC deal took 14% off the shares; on my numbers it costs about €11 a share, but the price was rich before it. My call: NO CALL, medium conviction. Base value €278, up 7%, range €191 to €341.

Appendix: forecast assumptions

Assumption	2026E	2027E	2028E	Basis
Organic revenue growth	12%	9%	8%	Guide +10% to 13% for 2026; CMD +7% to 10% a year
Adjusted EBITA margin	19.6%	20.2%	20.7%	Guide 19.4% to 19.7%; CMD +250bps to 2030
Net financial expense, €m	600	650	650 + 536	H1 2026 €286m; PTC interest from 2028 (mine)
Tax rate	24%	24%	24%	Guided 23% to 25% for 2026
Diluted shares, m	562.5	560.5	558.3 / 583.9	Standalone / with PTC (new shares, no buybacks)
PTC EBITA, €m			1,185	21x price implies €1.0bn for 2027; +10%; €80m synergies
PTC purchase accounting, €m			600	Mine; not disclosed
P/E on 2028E			22x	Between 21.0x and 24.5x on 2027 consensus

Full workings, with live formulas, in the accompanying model, 2026-10-07_SchneiderElectric_Model.xlsx.

Sources

Schneider Electric financial releases filed with the AMF: Full Year 2024 Results (20 February 2025), Half Year 2025 Results (31 July 2025), Third Quarter 2025 Revenues (30 October 2025), Full Year 2025 Results and presentation (26 February 2026), Q1 2026 Revenues (30 April 2026), Half Year 2026 Results (30 July 2026). Capital Markets Day release, 11 December 2025. "Schneider Electric to acquire PTC", release and transaction presentation, 5 October 2026 (also PTC Form 8-K, Exhibit 99.1). Share prices from Euronext Paris historical data; consensus, targets, shares outstanding and peer EPS from stockanalysis.com; all retrieved 7 October 2026. Estimates for 2026 to 2028, the PTC effect and the valuation are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 7 October 2026, thephysicallayer.fyi/journal/schneider-sells-the-finished-system; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Schneider Electric. Personal research, not investment advice.

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